# ITC Hotels Revenue Optimization

A Data-Driven Performance Analysis Using Power BI

BY: BHAVYA JAIN

# Executive Summary

This report presents a comprehensive analysis of ITC Hotels' operational and financial performance using data analytics and visualization techniques. The study focuses on key business dimensions including revenue performance, occupancy trends, room category contribution, customer booking behaviour, and the impact of cancellations on revenue. The findings indicate that ITC Hotels demonstrates strong financial performance supported by effective pricing strategies and consistent demand. However, several operational inefficiencies have been identified, particularly in terms of uneven occupancy distribution and revenue loss due to cancellations. The report concludes by recommending strategic interventions such as demand-based pricing, improved customer targeting, and structured cancellation policies to enhance overall business performance and profitability.

# Introduction

The hospitality industry operates within a highly dynamic environment where demand patterns fluctuate based on seasonality, customer preferences, and external economic conditions. In such a competitive landscape, hotels must continuously optimize their pricing strategies, room utilization, and customer engagement to maintain profitability and operational efficiency. ITC Hotels, as a premium hospitality brand, offers a diverse range of room categories across multiple locations, each contributing differently to overall revenue and occupancy levels.

This report aims to evaluate the performance of ITC Hotels by analysing key operational metrics through a data-driven approach. The analysis is supported by interactive dashboards developed using Power BI, enabling a deeper understanding of business trends and patterns. The study focuses on four primary areas: financial performance, occupancy and capacity utilization, room category performance and booking behaviour, and the impact of cancellations on revenue. By examining these areas, the report seeks to identify inefficiencies and provide actionable insights to support strategic decision-making.

# Organisation Overview

ITC Hotels operates as a leading player in the hospitality industry, providing premium accommodation services across various cities. The organization caters to a broad customer base, including business travellers, tourists, and leisure customers, by offering multiple room categories such as standard, premium, elite, and presidential rooms. Each of these categories plays a distinct role in revenue generation and occupancy levels.

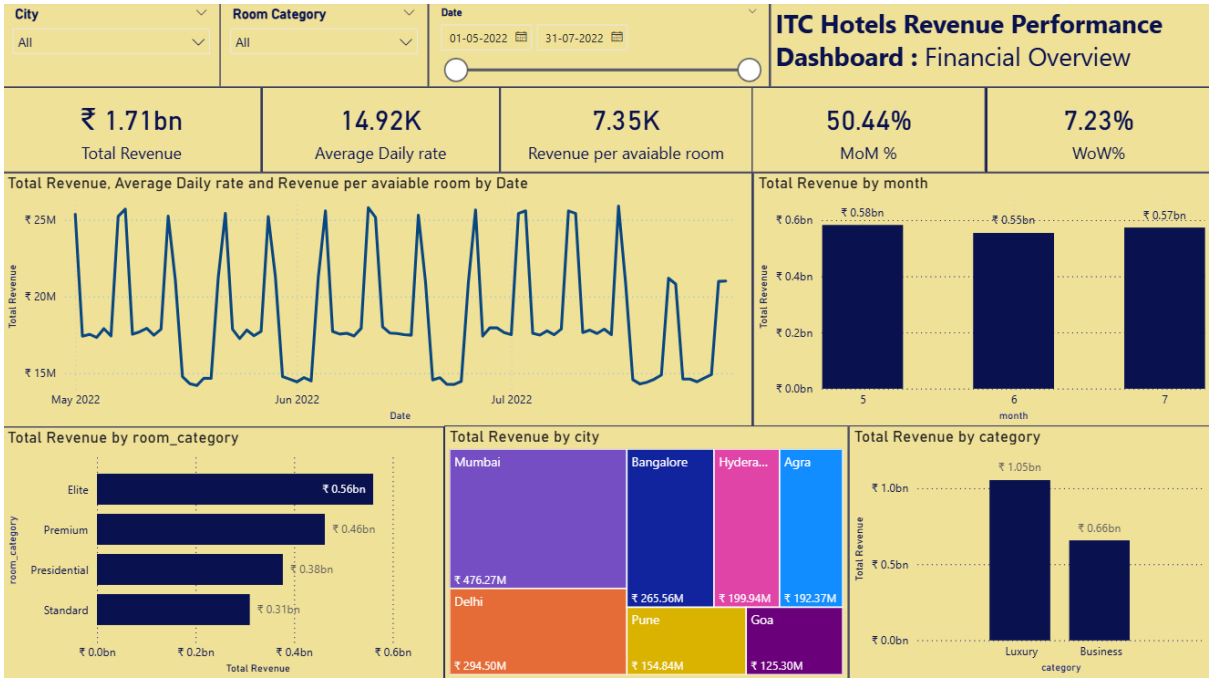
The success of the business depends on its ability to balance pricing strategies with demand patterns while ensuring optimal utilization of available rooms. In an increasingly competitive market, ITC Hotels must rely on data-driven insights to improve operational efficiency, enhance customer experience, and maintain its competitive positioning. The use of analytical tools such as Power BI enables the organization to transform raw data into meaningful insights, thereby supporting informed decision-making.

# Financial Performance Analysis

Financial performance serves as a fundamental indicator of business success in the hospitality sector. The analysis of ITC Hotels' revenue trends reveals a consistent pattern of growth over the observed period, suggesting stable demand and effective business operations. The ability to generate high revenue is closely linked to the organization's pricing strategy and its capacity to attract and retain customers.

Key performance metrics such as Average Daily Rate (ADR) and Revenue per Available Room (RevPAR) provide deeper insights into pricing efficiency and room utilization. A higher ADR indicates that the hotel is successfully charging premium prices for its rooms, while a strong RevPAR reflects efficient use of available inventory. The combination of these metrics suggests that ITC Hotels has been effective in balancing pricing with occupancy levels.

Despite strong performance, there remains scope for improvement. Revenue fluctuations across different periods indicate that pricing strategies could be further aligned with demand patterns. Implementing dynamic pricing models based on seasonality and customer demand could enhance revenue optimization and ensure more consistent financial performance.

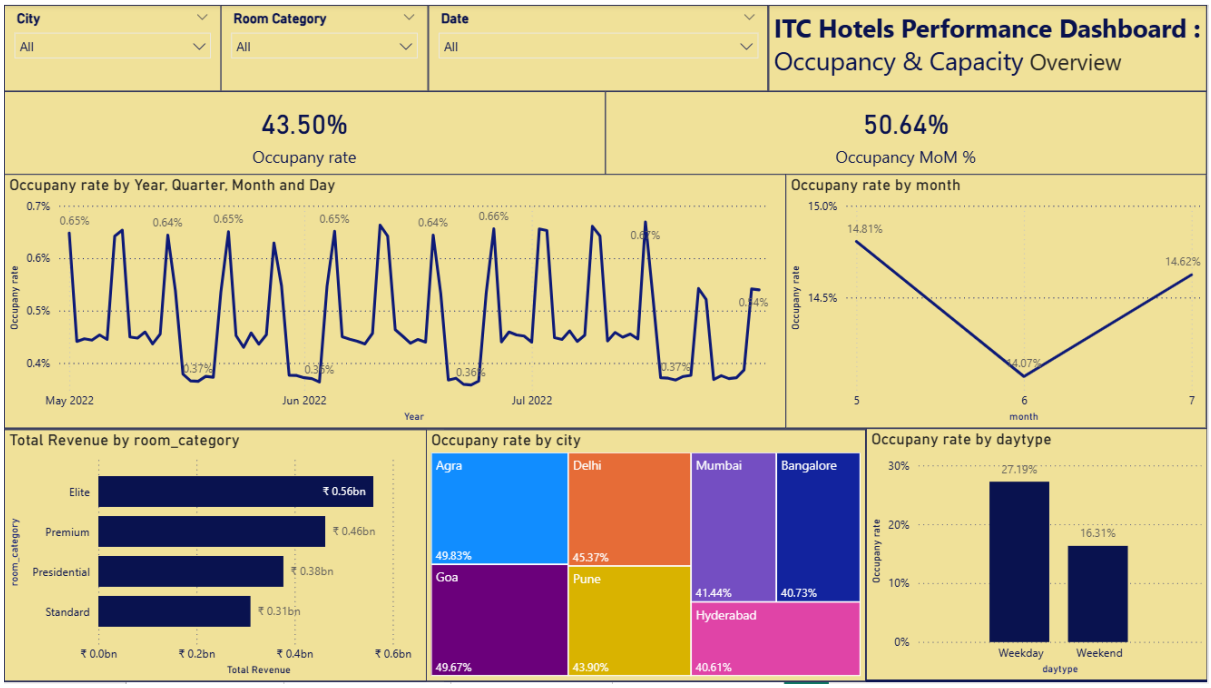


# Occupancy and Capacity Analysis

Occupancy analysis is critical for understanding how effectively a hotel utilizes its available capacity. The findings indicate that occupancy rates vary significantly across different time periods, reflecting the influence of customer behaviour and demand cycles. A notable pattern observed in the analysis is the higher occupancy during weekends compared to weekdays, suggesting that leisure travel contributes significantly to demand.

Seasonal variations also play an important role in shaping occupancy trends. Certain months experience higher demand, while others reflect relatively lower occupancy levels. This variation highlights the importance of demand forecasting and strategic planning in the hospitality industry.

The analysis further reveals that weekday occupancy remains relatively low, indicating underutilization of available capacity. This presents an opportunity for ITC Hotels to implement targeted strategies aimed at increasing demand during off-peak periods. Corporate partnerships, business travel packages, and promotional offers could be used to attract customers during weekdays and improve overall occupancy levels.



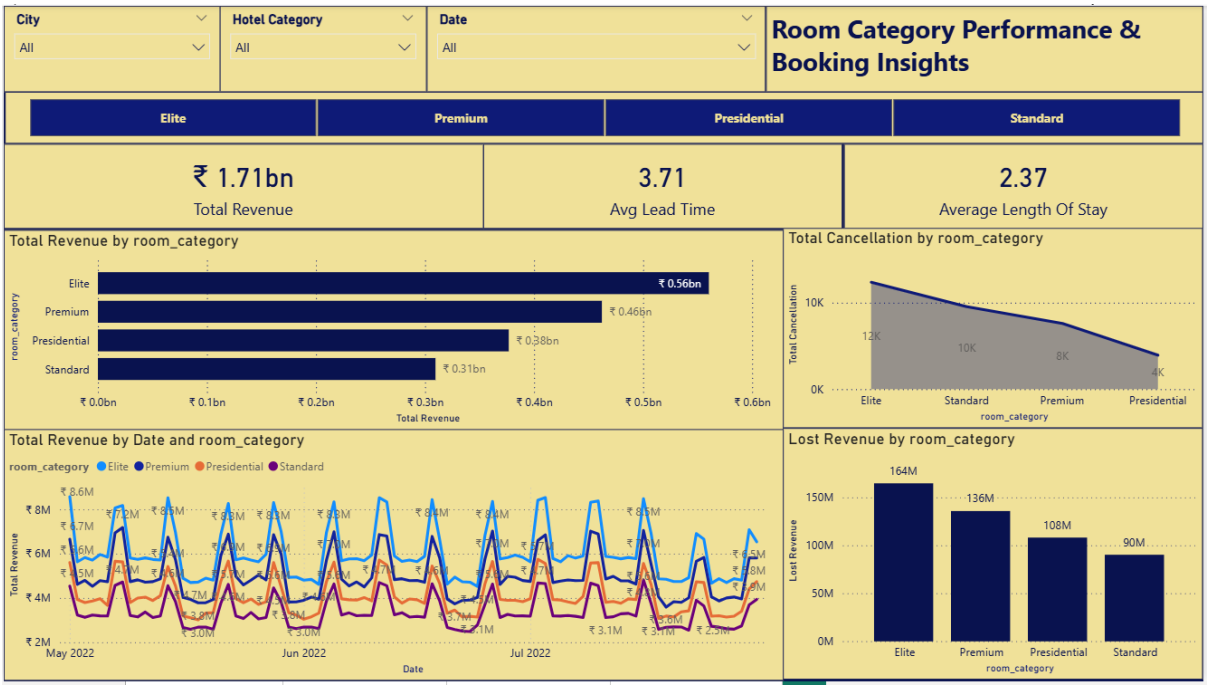
# Room Performance and Booking Behaviour

Room category performance is a crucial factor in determining overall revenue distribution. The analysis shows that premium and elite room categories contribute significantly to total revenue, indicating strong demand for higher-value offerings. In contrast, standard rooms contribute more towards occupancy volume rather than revenue generation. This distinction highlights the importance of balancing high-value offerings with volume-based strategies.

Customer booking behaviour provides additional insights into revenue generation patterns. The Average Length of Stay (ALOS) is an important metric that reflects how long customers stay at the hotel. Longer stays contribute positively to revenue, while shorter stays indicate higher turnover but may limit overall profitability. The analysis suggests that variations in ALOS across room categories can influence total revenue performance.

Lead time, defined as the duration between booking and check-in, further highlights customer behaviour patterns. Short lead times indicate last-minute bookings, while longer lead times suggest planned travel. Understanding these patterns enables the organization to design targeted marketing strategies and promotional campaigns that align with customer behaviour.

Overall, the analysis of room performance and booking behaviour demonstrates that customer decisions play a significant role in shaping revenue outcomes. By leveraging these insights, ITC Hotels can optimize its pricing strategies and improve customer targeting.

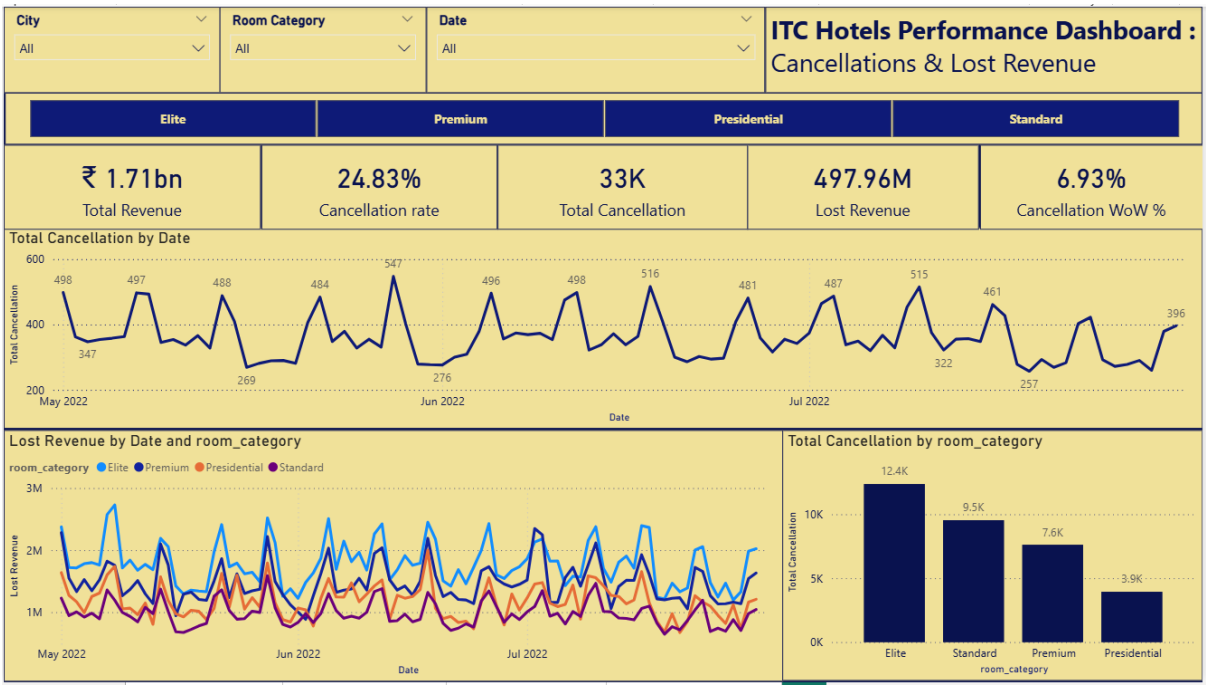


# Cancellation and Revenue Loss Analysis

Cancellations represent a significant challenge in the hospitality industry, as they directly impact revenue and operational efficiency. In the context of ITC Hotels, cancelled bookings do not result in a complete loss of revenue, as approximately 60% of the booking amount is refunded to customers, while the remaining 40% is retained by the hotel. This partial refund policy reduces the financial impact of cancellations but still leads to considerable revenue leakage. The analysis indicates that a substantial number of bookings are cancelled, resulting in lost revenue that could have been realized through effective capacity utilization. This highlights the importance of implementing strategies to minimize cancellations and improve booking confirmation rates.

The impact of cancellations varies across room categories, with certain categories experiencing higher cancellation rates than others. This suggests that customer behaviour differs depending on the type of room booked, which may be influenced by factors such as pricing, flexibility, and booking policies.

Revenue loss resulting from cancellations highlights the importance of implementing effective cancellation management strategies. Without proper controls, cancellations can lead to inefficient utilization of resources and reduced financial performance. Addressing this issue requires a combination of policy changes and customer engagement strategies aimed at minimizing cancellations while maintaining customer satisfaction.



# Evaluation of Analytical Approach

The use of Power BI as an analytical tool has enabled the effective visualization and interpretation of complex datasets. The interactive dashboards provide a comprehensive view of business performance, allowing users to explore trends, compare metrics, and identify patterns. This approach enhances the ability to make data-driven decisions and supports strategic planning.

However, the analysis is subject to certain limitations. The findings are dependent on the quality and completeness of the available data, and the absence of external factors such as market trends and competitive dynamics may limit the scope of the analysis. Additionally, the current approach focuses primarily on descriptive analytics and does not incorporate predictive models that could provide insights into future trends.

Despite these limitations, the analytical framework used in this study provides a strong foundation for understanding business performance. Future enhancements could include the integration of predictive analytics and advanced modelling techniques to improve decision-making capabilities.

# Recommendations and Conclusion

The findings of this report highlight several opportunities for improving the performance of ITC Hotels. Revenue optimization can be achieved through the implementation of dynamic pricing strategies that align with demand patterns and customer behaviour. Improving occupancy during low-demand periods requires targeted initiatives such as corporate partnerships and promotional campaigns designed to attract customers during weekdays.

Customer behaviour insights suggest that encouraging longer stays and leveraging booking patterns can enhance revenue generation. Additionally, addressing the issue of cancellations is critical for minimizing revenue loss and improving operational efficiency. This can be achieved through the introduction of structured cancellation policies and incentives for confirmed bookings.

In conclusion, this report demonstrates the value of data analytics in understanding and improving business performance in the hospitality industry. By leveraging the insights derived from this analysis, ITC Hotels can enhance its operational efficiency, optimize revenue, and strengthen its competitive position in the market.